

Technology | AI

SK Hynix's Record Profit Misses Investors' Lofty AI Expectations



The SK Hynix signage during the company's initial public offering at the Nasdaq MarketSite in New York. *Photographer: Michael Nagle/Bloomberg*

By Yoolim Lee

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SK Hynix Inc.'s quarterly profit rose a smaller-than expected 557%, adding to heightened fears that an AI boom that has propelled the semiconductor industry may be decelerating.

The key supplier of Nvidia Corp. reported operating profit of 60.5 trillion won (\$42 billion) in the June quarter versus analysts' average projection for 64.2 trillion won. Revenue came to 79.3 trillion won, against the average estimate of 83.9 trillion won.

That's as the company won multiyear contracts with around 10 customers, it said. Net income surged a bigger-than-expected 1,242% on one-time investment gains.

SK Hynix, which leapt past Samsung Electronics Co. to take the lead in the red-hot AI memory arena, has shed more than \$500 billion of value since June as doubts grew about whether spending will justify lofty valuations. Tech companies' rising debt levels are also weighing on investors' minds. The growing amounts of leverage tied to players like SK Hynix turbo-charged volatility across Korea's bourse, wiping out roughly 45% of the company's value in about a month.

[Click here for a liveblog covering SK Hynix's results.](#)

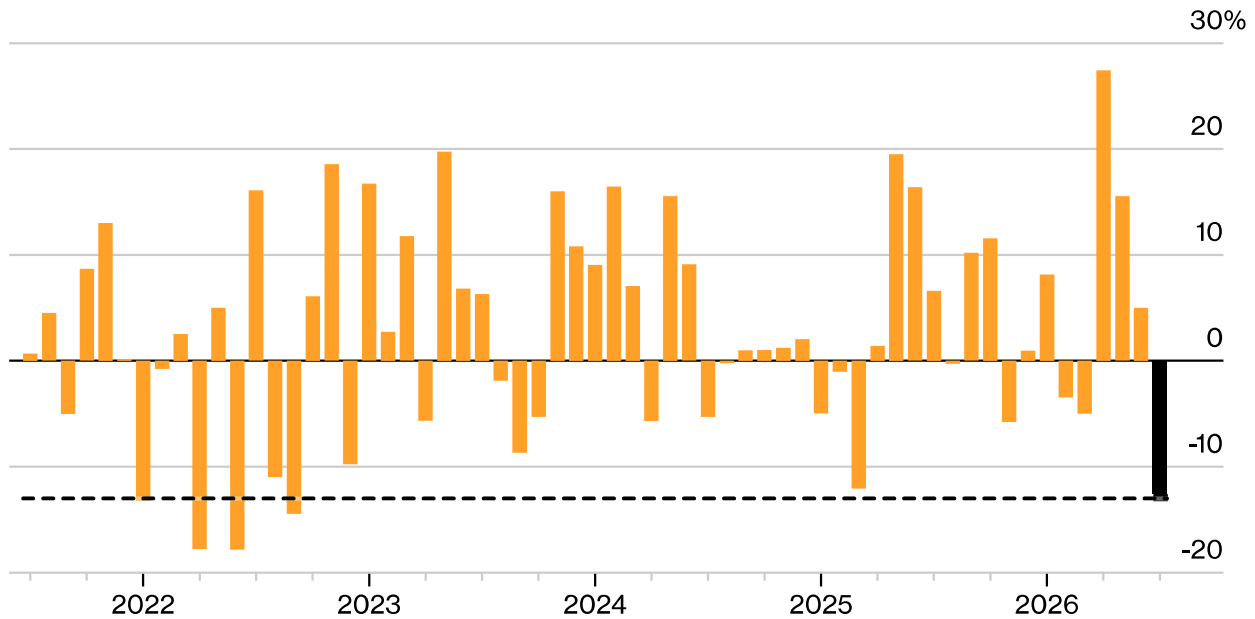
“When you're the dominant supplier of the high-bandwidth memory that powers Nvidia's chips, the AI boom lands directly on your bottom line,” said Josh Gilbert, Etoro's lead analyst for APAC and the Middle East. “That means the market is unlikely to focus on the headline numbers alone. The bigger question is whether margins and guidance can justify its recent performance.”

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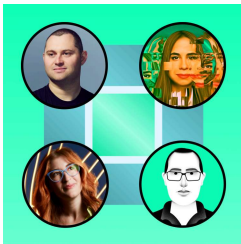
Worries about valuations, AI spending have rattled confidence

■ MSCI World Semiconductors index monthly performance



Source: Bloomberg

Investors worry that soaring chip costs may trigger a broader economic slowdown, pushing prices of electronics higher and spurring manufacturers to cut production of devices like PCs and smartphones. Brokerages including Mirae Asset Securities Co. have trimmed their second-quarter profit estimates for SK Hynix in recent weeks, citing moderated growth in average selling prices of chips.



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Chipmakers have pushed back, saying that demand is expected to outstrip supply for the long term. They point to customers such as cloud service providers ratcheting up orders for memory, lifting both volumes and margins. SK Hynix Chief Executive Officer Kwak Noh-Jung told Bloomberg earlier this month that the severe memory chip shortages that are roiling the computer, car and device makers would likely persist beyond 2030.

[Read More: SK Hynix CEO Expects Memory Crunch to Last Beyond 2030](#)

SK Hynix, along with Samsung and [Micron Technology Inc.](#), dominates global memory supply. The trio has increasingly shifted production in recent years toward high-bandwidth memory used in Nvidia's AI accelerators, tightening supplies of conventional memory.

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Last week, [SK Group](#) signed a pact with Nvidia on a partnership spanning deals that the two companies said could be worth more than \$500 billion.

The figure includes money that Nvidia will spend buying memory chips, as well as purchases of supercomputers, Nvidia CEO Jensen Huang told Bloomberg Television. "So between us, we're going to do half a trillion dollars' worth of business," he said.

Read More: [Nvidia's \\$750 Billion in Deals Reignite Circular AI Fears](#)

– *With assistance from Youkyung Lee and Cat Barton*



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